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**T**HE year, 2016, has been full of rapid and unexpected changes. The financial services sector witnessed its fair share.

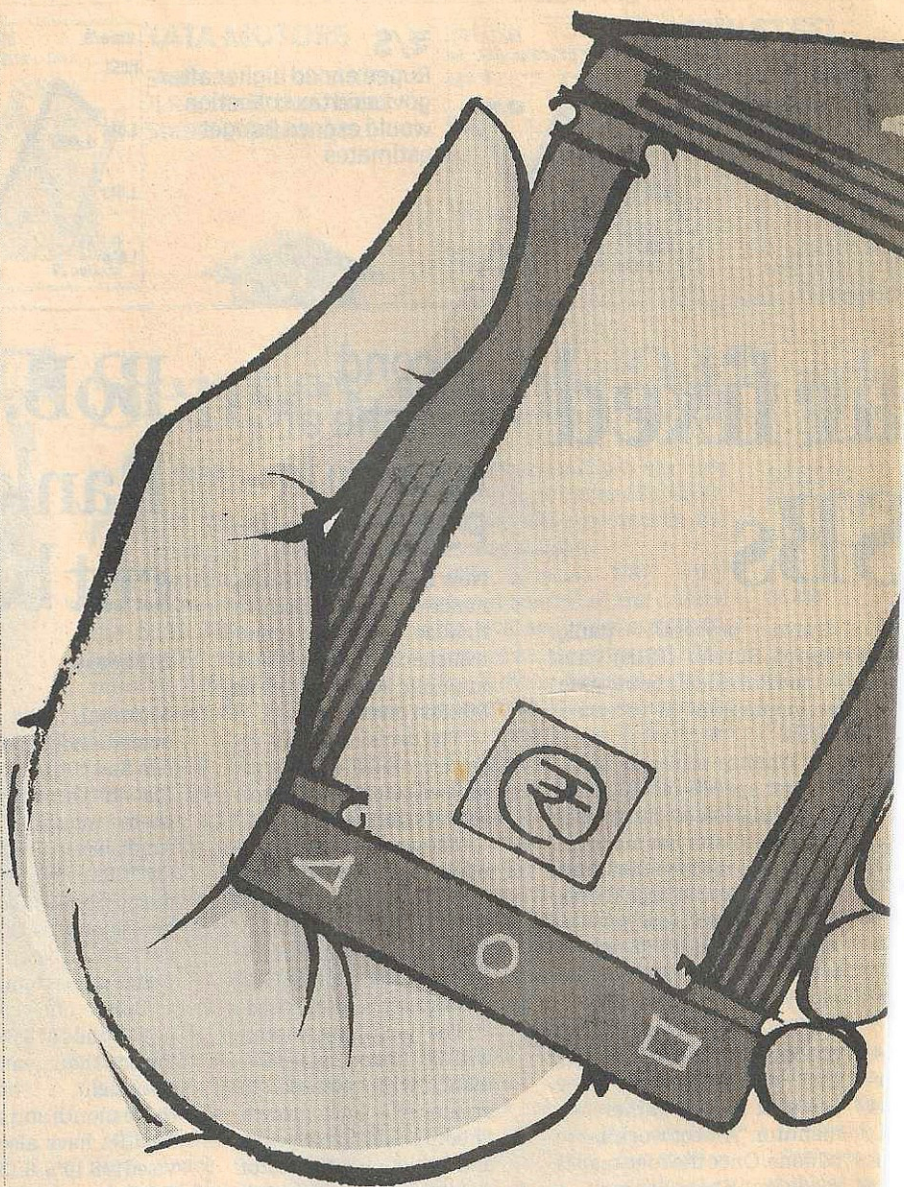
Indian equity markets trudged through Brexit, the US presidential elections and, of course, the Federal Reserve decision, to yield flattish returns in 2016, while bonds rallied, with the 10-year government security yields falling by 1.2% over the year.

The banking sector discourse, in 2016, was dominated by the non-performing loans problem. The announcement of small finance banks and payments banks in Aug-Sept 2015 led to the successful licensees moving ahead with their plans to launch these new categories in 2016. The setting up of the Bank Board Bureau and the Monetary Policy Committee were two important reforms last year, while the legislation of the Insolvency and Bankruptcy code was a big step forward in helping resolve problem loans.

For India's non-banking financial companies (NBFCs), the year was characterised by robust growth. NBFCs, in fact, improved their performance on most metrics in the last fiscal year. According to the Reserve Bank of India (RBI) Financial Stability Report (FSR) released earlier this year, NBFC loans expanded 16.6% in the year, twice as fast as the 8.8% credit growth across the banking sector on an aggregate level. The aggregate balance sheet of the NBFC sector expanded 15.5% in fiscal 2016 in comparison to 15.7% from the previous year.

Historically, NBFCs in India were monoline players in housing, commercial vehicle financing, gold financing, etc, but more recently, we have seen the emergence of diversified NBFCs which operate in multiple areas, from small loan financing to consumer loans, from structured corporate finance to loans against shares and from housing to loan against property and lease rent discounting. These diversified business models, by definition, will be less risky, but will in many cases pitch the NBFCs directly against banks. As NBFCs grow in size, the question of their funding will remain in the forefront as wholesale funding of large NBFCs will pose systemic risks.

Even while the NBFC sector shows



# Adjusting to a new norma

For those who can move fast to emerge with customer-centric engagement strategy, the to develop a winning model is enormous

shows a need for fine-tuning. In fact, the long-tail is not just a phenomenon in non-banking financial entities. In many other sectors in financial services, the top-10 account for a bulk of the profits and economic value, and this should lead to greater consolidation opportunities in 2017.

Other than the opportunity in small and medium enterprise (SME) financing, increased penetration of housing finance will drive double-digit growth in this sector over the next decade. India's housing finance companies with 40% share of the pie are clearly leading the way here. Further, as newer customer needs emerge from a digitally-savvy customer base, NBFCs could potentially open up new avenues for growth.

Mutual funds continued to grow in 2016, and the systematic investment plan (SIP) has become the preferred mode of investment for retail investors. A few years ago, volatility in the stock market would inevitably lead to redemptions. Now, with SIPs becoming popular, cost of acquisition

**Even while the NBFC sector shows better performance, there is wide dispersion, and the long-tail of NBFCs shows a need for fine-tuning. In fact, this is not just a phenomenon in NBFCs. In many other sectors in financial services, the top-10 account for a bulk of the profits and economic value, and this should lead to greater consolidation opportunities in 2017**

when markets correct. There is still a long road of opportunity for mutual funds as penetration levels remain very low by global standards.

Life insurance saw action in 2016. With growth coming back, the growth of digital sales and open architecture starting to take shape, this industry is at the beginning of considerable change, and alliances and acquisitions will become more common going forward.

Along with all of this, of course, the growth of financial technology (fintech) companies continued to create interest in 2016. Remittances, payments, lending, wealth management, analytics and IT infrastructure remained interesting areas that saw developments in 2016. We are already seeing fintechs increase their focus to meet the needs of millennials with increased traction in online advice and discretionary wealth management tools, focus on Big Data and analytics, alternative finance options like peer-to-peer (P2P) lending and digital payments. The adoption of mobile wallets, cashless transactions and online payment gateways has paved the way